- Valuation cycles are driven primarily by psychology, making *fair value* a point along a chronological continuum, starting out with investor indifference and ending with investor overenthusiasm.
- Cheap stocks are not always good buys, and pricey stocks don't always disappoint.
- Expensive stocks should lower your future return expectations, while cheap stocks should raise them—but only over longer periods of time, when mean reversion can eventually assert itself.
- There are rare moments when valuations become so distorted—either radically cheap or wildly expensive—that making adjustments to your equity exposure is tempting. These occur less than 2% of the time in my estimation.
- As tempting as it is to sell into the highs and buy into the lows, most people are terrible at doing this. As we see later, they usually make the opposite choice from what they should.
- Rebalancing your portfolios on a regular basis—selling a little of what is up a lot and buying a little of what is down a lot—is the best valuation strategy we know of that works.

Overall, valuation matters less than we tend to believe, and even when it does matter, we tend to make the wrong decisions.

Rising earnings are good for stock prices, but what turns out to be even better are rising multiples. Let's explore how that works next.

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189 Heather Gillers, "Pension Funds' Dilemma: What to Buy When Nothing Is Cheap?" *The Wall Street Journal* (January 1, 2018).

190 MSCI ACWI "captures large and mid cap representation across 23 Developed Markets (DM) and 24 Emerging Markets (EM) countries."

191 Nick Maggiulli is Chief Operating Officer and Data Scientist at Ritholtz Wealth Management.

192 Nick Maggiulli, "Just Keep Buying," Of Dollars and Data (April 11, 2017).